NextEra Energy, Inc.

NEE NYSE

Buy **$88.61** ▲ 1.34%

12M Price Target **$102.00**

52-Week Range $69.24 – $98.75

Market Cap $184.81B

NEE: AI Power Demand Meets Utility Rerating Story

WHAT HAPPENED

- NEE ticked up 1.3% on light volume (about half the recent average) — this looks like a drift-higher day rather than a real catalyst, riding a broad utility sector bounce (+1.24%). The interesting tell is the volume: only 5M shares traded, meaning nobody was rushing in or out, so the move is low-conviction.
- The 24/7 Wall St piece framing utilities as "1970s-scale power buildout" plays into the AI data center thesis that's been the single biggest driver of utility rerating over the past year — NEE is the biggest pure-play beneficiary.

WHY IT MATTERS

Here's the tension in NEE right now: the AI data center power demand story is a massive tailwind (hyperscalers like Microsoft and Google need clean baseload power NOW), but the options market is pricing in near-term worry — put/call ratio of 1.44 with unusual put buying at $89 and $93 strikes for July expiration means somebody with money is hedging or betting on a pullback in the next two weeks. That likely ties to policy uncertainty around renewable tax credits under the current administration. The stock sitting at 66% of its 52-week range tells me the market is stuck: bulls see the AI power boom, bears see IRA rollback risk. Watch for any Treasury Department guidance on renewable credit "safe harbor" rules — that's the swing factor.

POLICY & POLITICAL WATCH

The big one is the ongoing fight over Inflation Reduction Act (IRA) tax credits — the wind and solar production/investment tax credits that essentially subsidize NEE's core business. The Trump administration has been chipping away via Treasury guidance on "foreign entity of concern" rules and safe harbor deadlines, which could compress project economics if tightened further. On the flip side, the AI/data center power crunch is bipartisan concern — even Republicans skeptical of renewables acknowledge you can't build enough gas plants fast enough to meet hyperscaler demand, which structurally protects NEE's pipeline regardless of subsidy fights.

IS IT EXPENSIVE?

At roughly 23x forward earnings (meaning investors pay $23 for every $1 of expected profit next year), NEE trades at a premium to boring regulated utilities that go for 17-19x — you're paying up for the renewables growth engine and Florida rate base expansion. That premium is justified IF the tax credits hold and AI power contracts keep landing; it's too expensive if IRA gets gutted. Compared to its own 5-year history where it peaked near 30x, current pricing is reasonable but not a bargain.

Key Data

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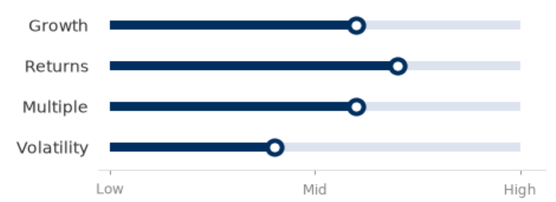
Price (USD)	**$88.61**
12M Price Target	**$102.00**
Upside / (Downside)	**+15.1%**
Market Cap	**$184.81B**
FY2026E Revenue	**$28,500M**
FY2027E Revenue	**$31,200M**
FY2026E EPS	**$3.75**
FY2027E EPS	**$4.10**
Fwd P/E	**23.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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NEE — NextEra Energy, Inc. | July 07, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$94.00**	$90.00	**$84.00**
6 Months	**$105.00**	$96.00	**$80.00**
1 Year	**$115.00**	$102.00	**$75.00**
2 Years	**$135.00**	$115.00	**$70.00**
5 Years	**$180.00**	$140.00	**$65.00**
10 Years	**$260.00**	$190.00	**$70.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.61%) and Healthcare (+1.53%) — classic defensive rotation, suggesting the market is getting nervous about growth. Utilities coming along for the ride but the 5-day is still negative (-0.35%), meaning today is a bounce, not a trend.

COOLING OFF: The 5-day underperformance in utilities suggests the AI power trade cooled off after running hard earlier this year — investors are digesting whether the multiple expansion is done.

ROTATION WATCH: Money is moving into defensives (Healthcare, Staples, Real Estate) which historically happens when investors expect either a Fed cut or economic softness — both would be tailwinds for NEE since lower rates help utility valuations.

RELATED PLAY: If the AI power thesis keeps working, the picks-and-shovels play is grid equipment makers (GEV, ETN, PWR) — they benefit whether the power comes from renewables OR gas.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Winning because they own nuclear and gas — no IRA risk, direct AI data center exposure
- CEG (Constellation Energy): Same nuclear-to-hyperscaler story, plus signed the Microsoft Three Mile Island deal

NEE CONTEXT: NEE has lagged Vistra and Constellation over the past year because those names have zero IRA exposure — pure nuclear plays get 100% of the AI upside with none of the policy risk. That lag is either a value opportunity (if IRA survives) or a warning sign (if it doesn't). I lean opportunity because NEE's Florida regulated utility is a $60B+ business that has nothing to do with tax credits.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the near-term options flow is telling me to be patient on entries.

POSITION SIZE: 3-5% — big enough to matter, small enough that IRA headline risk doesn't wreck your portfolio

ENTRY POINTS: I'd add on pullbacks to $82-86, especially if there's a scare headline on tax credits that's likely to be walked back

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is Treasury safe harbor guidance and the next hyperscaler PPA announcement

WHEN TO BAIL: If IRA credits get formally repealed in a budget bill, or if the Florida Public Service Commission denies a major rate increase — either kills the growth story

HEDGING: Simplest hedge is to pair with a natural gas utility name (like Southern Company or Duke) — if renewables policy turns hostile, gas utilities benefit; if it stays friendly, NEE wins big and you still make money on the pair